

1915 South

Working Session — Brady Smallwood

April 2026 · Confidential

Agenda

Three Theses. Four Weeks. One Conversation.

1. **The Window** — why the next 18 months are structurally unusual
2. **Three strategic theses** — M&A roll-up, GMROI execution, sleep vertical
3. **Innovation Workshop** — top ideas, brief
4. **Engagement shapes** — what 4 weeks looks like, matched to where you want to go
5. **Five questions** — what Brady wants to hear before anything is scoped

Justin leads. Brady frames. Everything here is a starting point, not a verdict.

The Context

The Window Opens When Competitors Disappear

Three events converged in the same 18-month window:

- **FRG / Badcock collapse** — ~880 Southeast storefronts vacated 2024–2025. The boxes are available. They won't stay available.
- **Ashley GMROI directive** — Todd Wanek, Dec 2024: franchisees that can't demonstrate GMROI execution face displacement. 3–5 year clock.
- **China sourcing ceased** — April 2025. Cost structure shifts hit every player simultaneously.

"3–5 years to figure out AI or get left behind." — Todd Wanek, CEO, Ashley Furniture Industries

1915 South is already winning. The question is whether the platform expands into this

1915 South Baseline

\$182M · 14% EBITDA · 29 Stores

#50 Furniture Today Top 100. Record 2025 under Justin.

FL 12 · GA 7 · AL 5 · NC 4 · MS 1 · VA 1 · 3 DCs

Two deals in three years: Fineman (Jacksonville 2022) + Yulee (FL 2025).

The roll-up thesis is already real — it just needs a playbook.

Thesis 1

M&A: Momentum Exists — The Playbook Doesn't Yet

The FRG collapse didn't kill a competitor. It cleared Southeast inventory at distressed prices.

The landscape:

- ~880 former FRG storefronts across the Southeast — FL, GA, AL, NC, SC, TN, VA, MS
- 15 named acquisition targets identified in the M&A deep research
- Ashley corporate has strategic incentive to see the footprint consolidate into proven operators

The specific first move:

Ashley HomeStores of Southwest VA (AFHSVA) — run by Bassam "Sam" Zeidan (37+ year operator). 8–9 Ashley stores, Roanoke through Bluefield. Adjacent to 1915 South's

Thesis 2

GMROI Execution: The Gap Is the Decision Layer

Zapsight handles the data foundation. The layer that translates data into store-level decisions — that's not built yet.

What's missing between Zapsight and the store floor:

- Weekly GMROI dashboards designed for manager action (not HQ reporting)
- Execution protocols: how a DM responds to a slow-turn cluster vs. a velocity gap
- Regional assortment logic: when to edit vs. hold the national planogram
- AI-enabled decision triage: systematic vs. judgment-call boundaries

Why this matters to Ashley corporate:

Wanek's GMROI directive is specific. 1915 South building a visible execution layer on top of Zapsight positions it as the showcase licensee — the model Ashley points to at the next

Thesis 3

Sleep Vertical: A Built-In Tailwind, Specific to Southeast

Tempur Sealy closed the Mattress Firm acquisition Feb 2025. As part of the deal, they committed 25% of MFRM floor space to third-party brands for 5 years. That's a structural opening for Ashley-branded sleep on floor.

The A1 concept (from Innovation Workshop):

Sleep Lab specialty format — within or adjacent to existing Ashley stores. Trained sleep advisors, AI-matched mattress recommendation, distinct in-store experience. Takes share in a category where traffic is intentional.

Why it fits 1915 South specifically:

- Southeast markets overlap heavily with Tempur Sealy's MFRM footprint
- Ashley manufacturing scale gives 1915 South cost structure MFRM can't match post-

Innovation Workshop

39 Ideas. These Four Have Legs Today.

Concept	Track	Why Now
A1 — Sleep Lab / Specialty Stores	Format	Tempur Sealy MFRM tailwind; Ashley scale advantage
A4 — Concierge Appointment Showroom	Format	Filters high-ticket buyers; reduces peak staffing cost
A6 — Regional Assortment Editor	Product	Southeast demand signal diverges from national planogram
A8 — Furniture Subscription / Rent-to-Own	Product	Converts price-sensitive buyer; BNPL-adjacent margin structure

Engagement Options

What 4 Weeks Looks Like

Option A — M&A Playbook Intensive · \$35–50K

Codify the M&A operating model. Diligence checklist, integration runbook, AFHSVA first-target dossier, 2–3 capital partner intros.

Option B — GMROI Diagnostic · \$25–40K

30-store GMROI baseline. Execution-layer architecture on top of Zapsight. Three pilots scored impact × effort.

Option C — Decision-Layer Sprint · \$30–45K

Integrated: GMROI + assortment + M&A triage + 18-month roadmap tied to Ashley's \$2B mandate.

Option D — Paid Listening Tour · \$10–15K

Two weeks paid discovery. Brady meets Justin + VP Corp Dev + CEO + Zapsight. Delivers

Working Session

Five Questions Brady Wants to Understand

1. Of the three theses (M&A, GMROI, Sleep) — which is the move you want to make first?
2. How is Russell thinking about the acquisition cadence — thesis or opportunistic?
Fineman → Yulee: deliberate compounding or two good prices?
3. On Zapsight — what's actually in their scope, and does the decision layer exist yet?
4. If we were going to do something scoped — 3 to 5 weeks, defined deliverable — what's the shape that matters most to you?
5. If Russell and I were in a 30-minute room in the next two to four weeks — what's the one thing you'd want Russell to walk out feeling?

Close

Two Questions Before We Wrap

1. Is the teaser something you'd want to show Russell — or should I build a cut tuned to what he's optimizing for?

There's already a Russell-facing version built. His version leads with capital allocation and family continuity framing, not the M&A chessboard. Different person, different close.

2. If we were going to work together in the next 60 days — what would have to be true for that to feel like an easy yes on your side?

Not a negotiation — a design conversation. Justin's answer is the scope.

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